

Financial Management — PREVIEW

Course: CPA — Certified Public Accountant | Level: Foundation Level 2

This is a free preview covering the introduction and Section 1 only.

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1. Introduction to financial management

Financial management is concerned with planning, organising, directing, and controlling the financial activities of an organisation — principally, decisions about how to raise funds (financing) and how to deploy them (investment).

1.1 The objective of financial management

The primary objective is generally taken to be maximisation of shareholder wealth, rather than simple profit maximisation, since wealth maximisation accounts for the size, timing, and risk of cash flows over the long run.

1.2 Key financial management decisions

Decision	Question it answers
Investment decision	Which assets/projects should the business invest in?
Financing decision	How should those investments be funded?
Dividend decision	How much profit should be retained vs distributed?
Working capital decision	How should short-term assets and liabilities be managed?

Unlock the full paper

The complete version includes time value of money (FV, PV, annuities), capital budgeting techniques (payback, ARR, NPV, IRR), sources of finance, cost of capital and WACC, working capital management, a full worked investment appraisal question, and a 10-question original self-assessment kit with model answers — all numerical workings independently verified.

Purchase the full paper to continue.

